

dwindled by increasing supply, however it is the reverse. Bitcoin is predicted to experience deflationary forces over time due to its pre-determinedly limited supply. As Bitcoins are lost due to technical issues, accidents or seizure (government) the value of the Bitcoin will more rapidly stabilize and find a normal level. However, there is also the possibility that with occasional and continuous losses due to random events, the supply of Bitcoins in circulation will always remain significantly lower than the total supply created. And unlike normal currency this deflation will effect the laws of supply and demand in unpredictable ways. The likely outcome is that the value of Bitcoins will increase as scarcity will relatively increase over time which will in effect cause aberrant trading behaviour causing Bitcoin value to fluctuate.

In order to resist this possibility the system is designed for infinite divisibility of unit. In practice, while at one point 10,000 BTC could buy a pizza, today only a fraction of one Bitcoin is needed. By continuously being able to engage a lower unit of Bitcoin, a centicoin or an ucoin for trading the problem of deflation could also be managed. By dividing the Bitcoins to its lower denominations indefinitely usage could evolve in a practical and manageable way within the decentralised system.

Foundations of Bitcoin's Value

Bitcoins in most physical forms contain an inscribed motto - *Vires in Numeris* - latin for "Strength in Numbers". The philosophy and design of the



The spread of Bitcoin is rising and transactions are recorded globally at an increasing rate.